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How a Category I Angel Fund in IFSC works

A plain-language walkthrough of the structure, the parties involved and the investor journey.

Starting with the vocabulary

An Alternative Investment Fund (AIF) is a privately pooled investment vehicle. Category I AIFs are those that invest in areas the regulator considers socially or economically beneficial, such as start-ups and early-stage ventures. An Angel Fund is a sub-category within the venture capital scheme that focuses on very early-stage companies. In GIFT City, such funds are regulated by the International Financial Services Centres Authority (IFSCA).

The parties and their roles

- Fund Management Entity (FME): the IFSCA-authorised manager that sets up the fund and makes investment decisions.
- Trustee: holds the fund's assets on behalf of investors, separately from the manager.
- Fund administrator: maintains the books, calculates the net asset value (NAV) and issues statements to investors.
- Bank and custody arrangements: handle the movement and safekeeping of funds.
- Auditor: independently reviews the fund's financial statements.
- Legal and compliance advisers: support the structure and regulatory filings.

> *Separate roles, each with its own duties, are what make a structure trustworthy.*

The investor journey

1

Onboarding & KYC

The investor is identified and checked for eligibility.

2

Commit capital

The investor commits an amount, subject to the fund's minimum, in USD.

3

Drawdown & allocation

Capital is called deal by deal, once the required investor majority is secured.

4

Track & report

Investors receive periodic NAV updates through the administrator.

Deal-by-deal structure

Angel funds in IFSC can be organised so that each investment sits in its own segregated portfolio. This means investors take part in specific deals, and the outcome of one investment is kept distinct from another. Investors should read the offering documents carefully to understand exactly how this works for a given fund.

What to bear in mind

- Early-stage investments are high-risk, and the entire amount invested may be lost.
- Investments are illiquid and may be held for many years.
- The fund is denominated in US dollars, so currency movement affects outcomes for Indian investors.
- Eligibility, limits and tax treatment differ by investor and should be reviewed with a qualified adviser.

This article explains a structure in general terms. It is not an offer or solicitation and does not recommend any investment. Please read the Private Placement Memorandum and other offering documents before making any decision.

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